

TAXCASE REVIEW

IRS RESOLUTION INTELLIGENCE

FREE WORKSHEET

Offer in Compromise Worksheet

The same financial categories the IRS uses
to calculate what your offer should be.

Romy Cruz, EA

Licensed Enrolled Agent | 15 Years IRS Tax Resolution Experience

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Before You File an OIC

An Offer in Compromise lets you settle IRS debt for less than the full amount — but the national acceptance rate is only **14.1%**. Most self-filed offers fail for the same handful of reasons: understated expenses, overstated ability to pay, or using the wrong formula entirely.

This worksheet walks through the same financial categories the IRS uses to calculate Reasonable Collection Potential (RCP) — the number that determines whether your offer gets accepted.

Step 1: Which Basis Applies to You?

Basis	When It Applies
Doubt as to Collectibility	Most common. You likely cannot pay the full balance even over time.
Doubt as to Liability	You believe the assessed amount itself is incorrect.

Step 2: Disqualifiers — Check These First

- Do you have any unfiled tax returns? (OIC cannot proceed until all returns are filed)
- Are you currently in an open bankruptcy proceeding?
- Have you submitted full financial disclosure for every account and asset?

Step 3: Income and Asset Worksheet

Fill in your numbers below. The IRS formula is roughly: **(monthly disposable income × 12) + net realizable equity in assets = your offer amount.**

Category	Your Amount
Gross monthly household income	\$ _____
Allowable monthly living expenses (IRS standards)	\$ _____
Monthly disposable income (income minus expenses)	\$ _____
Equity in real estate (after liens/mortgages)	\$ _____
Equity in vehicles (after loan balances)	\$ _____
Cash, bank accounts, retirement accounts	\$ _____
Business assets / equipment (if applicable)	\$ _____

Why 65% of self-filed offers fail: applicants either understate their allowable expenses (which lowers the apparent ability to pay but raises IRS suspicion) or miscalculate asset equity by forgetting outstanding loan balances. Both mistakes get an offer rejected before it's ever fully reviewed.

Low-Income Certification

If your household income falls below 250% of the federal poverty guideline for your family size, you may qualify for low-income certification — which waives the application fee and the first payment requirement.

See If Your Offer Will Actually Get Accepted

Free 15-minute case review with Romy Cruz, EA — Licensed Enrolled Agent, 15 years of IRS tax resolution experience. We'll walk through your exact situation and tell you which options apply.

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Tax situations vary significantly. This guide is for informational purposes and does not constitute legal or tax advice.